Magma Fincorp Limited

POLICY & PROCESS FOR INITIATION,

CONTINUATION AND WITHDRAWAL

OF LEGAL CASES

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INTRODUCTION

As per the agreement executed with the Hirer(s), Guarantor(s), the Hirer(s) has to pay the installment in terms of the agreement, on the due dates. In case of default, Magma has a right to terminate the agreement by issuing a notice and the consequences of the said termination are as follows:

a) We can repossess the asset
b) We can demand surrender of the asset
c) We can demand total dues including future dues.
d) We can start Arbitration, Sec. 9 proceedings
e) However we can initiate proceedings u/s 138 Negotiable Instruments Act, for dishonour of cheque even before termination of the agreement and also after termination of the agreement.

LEGAL AS A TOOL FOR RECOVERY

In terms of the Agreement executed between Magma & Parties, we initiate the following legal actions:

- Arbitration proceedings under Arbitration & Conciliation Act, 1996
- Section 9, Sec. 17 proceedings
- Execution of Decree
- Sec. 138 proceedings under Negotiable Instruments Act, 1881
- Criminal Cases
- Any other Civil Cases

POLICY RELATING TO INITIATION OF LEGAL (CIVIL)

Arbitration is initiated in the cases which meet the eligibility criteria and not in all cases. Eligibility criteria for initiation are given as under w.e.f. 01-05-16 except for SME Cases:-

INITIATION CRITERIA:

A) For generation of Termination Notice:

1. 150+ and ODPOS>=75K for ABF
2. 30+ and ODPOS>=75K for SME (w.e.f. 01-04-17)
3. 60+ and ODPOS>=75K for SCE
4. 90+ and ODPOS>=75K for Housing (MHF Portfolio)
5. 30+ and ODPOS>=75K but Net Exposure<1 Crore for Housing (MFL Portfolio) (till 31-08-20)
   30+ and ODPOS>=75K but Net Exposure<50 Lacs. for Housing (MFL Portfolio) (w.e.f. 01-09-20)
   30+ and ODPOS>=75K but Net Exposure<20 Lacs. for Housing (MFL Portfolio) (w.e.f. 12-02-21)

6. S&S and ODPOS>5 Lacs

B) For initiating Arbitration:

1. 180+ and ODPOS>=75K for ABF
2. 30+ and ODPOS>=75K for SME (w.e.f. 01-04-17)
3. 60+ and ODPOS>=75K for SCE
4. 120+ and ODPOS>=75K for Housing (MHF Portfolio)
5. 30+ and ODPOS>=75K but Net Exposure<50 Lacs. for Housing (MFL Portfolio) (till 31-08-20)
   30+ and ODPOS>=75K but Net Exposure<50 Lacs. for Housing (MFL Portfolio) (w.e.f. 01-09-20)
   30+ and ODPOS>=75K but Net Exposure<20 Lacs. for Housing (MFL Portfolio) (w.e.f. 12-02-21)
6. S&S and ODPOS> 5 Lacs

Notes:

1- No Arbitration to be initiated where SARFAESI is initiated or eligible for initiation.

2- SARFAESI cases to be initiated as per the applicable law and to be filed at respective jurisdiction.

3- Initiation in deviation cases (i.e., in lower bucket), requires NCH/NBH/NLH approval

4- Cases filed against the Company: Any case filed against the Company / Employees / Directors where requisition received & arbitration is required, even if not meeting the aforesaid criteria.

5- In case asset/s is/are lying in stock,

a) Arbitration is not initiated as a process so that the asset/s can be sold in terms of the Agreement and Arbitration can be initiated for balance recovery, if any.

b) In exceptional cases, NCH approval is required for initiating Arbitration even in stock cases.

Every month after receipt of the CFR (Collection Follow up Report), the list of cases falling under the above criteria, in which arbitration is not already initiated, is prepared at HO Legal and uploaded in system for initiation.

C) <u>Dunning Notices in 61 TO 90 BKT (ABF Only):</u>

Dunning Notices were sent every month in 61 To 90 BKT (Fresh Flow-ABF cases) with repossession clause, w.e.f. 01-05-2016

<u>Dunning Notices in 1 TO 60 BKT (ABF Only)</u>:

Policy was modified to send Dunning Notices every month in 1 TO 60 BKT (Fresh Flow-ABF cases) with repossession clause, w.e.f. 01-04-2017 as per given criteria.

- Monthly Dunning Notice will be issued maximum of 3000 cases (which is 10% of the 1-60 flow)
- Consolidated list (at-least Zone wise) will be provided to the HO,-Legal by 1st week of each month by respective ZBH, in the specified
- ODPOS of such cases should be > Rs.2 lacs
- Such Dunning Notice will be issued once in one proposal in English & vernacular language and where legal has not been initiated (Termination Notice) for Arbitration
- HO-Legal will share the notice detail and soft copy of notice immediately after issuance of such notices & dispatch the same within 7 working days from the date of request received

Current Modified Policy for Dunning Notices (w.e.f. 16-03-2018)

Dunning Notices in 31 TO 60 BKT (ABF Only):

Dunning Notices to be sent every month in 31 To 60 BKT (Fresh Flow-ABF cases) with repossession clause in auto-mode.

Dunning Notices in 1 TO 30 BKT (ABF Only):

Dunning Notices to be sent every month in 1 TO 30 BKT (Fresh Flow-ABF cases) with repossession clause as per given criteria on request basis.

- Monthly Dunning Notice will be issued maximum of 3000 cases (which is 10% of the 1-30 flow)
- Consolidated list (at-least Zone wise) will be provided to the HO,-Legal by 1st week of each month by respective ZBH, in the specified
- ODPOS of such cases should be > Rs.2 lacs
- Such Dunning Notice will be issued once in one proposal in English & vernacular language and where legal has not been initiated (Termination Notice) for Arbitration
- HO-Legal will share the notice detail and soft copy of notice immediately after issuance of such notices & dispatch the same within 7 working days from the date of request received

ARBITRATION

Arbitration Proceedings & Award :- Arbitration is the most common methods of Alternative Dispute Resolution. Arbitration is the process by which an experienced legal professional (Arbitrator) hears a dispute and makes a ruling (Award) concerning the dispute. Ruling of the Arbitrator has the force of law and binding on the parties.

Magma has an arbitration Clause in the agreement and in case the customer defaults, Magma appoints an arbitrator to adjudicate the dispute. After appointment of Arbitrator, he conducts meetings by calling all parties to the agreement. During the arbitration proceedings, Magma files Statement of Claim and the other parties also file their objections. After hearing of the matter, Arbitrator passes the Award (Final Order).

During the arbitration proceedings, Arbitrator can pass interim measure orders at the request of the parties under Sec. 17 of the Arbitration Act. Also during the arbitration proceedings, the parties can approach for settlement of dues with the Company. As such during the arbitration proceedings we persuade the parties to settle his dues.

Normally in an Arbitration proceedings initiated by Magma against the customer and his guarantor, Magma prays before the Arbitrator for recovery of the total amount due under the agreement and also for declaration of Magma's ownership right on the financial asset and its right to possess and sell the asset which is generally allowed by the Arbitrator if the customer does not want to settle the dispute.

After award is matured for decree, execution can be filed against the hirer and guarantor for recovery of the total outstanding amount as per the award by attaching the financed asset and the movable and immovable property of the hirer/s and his guarantors.

ORDER U/S 9 & 17 OF ARBITRATION ACT

Sec. 9 :- Before the commencement of the Arbitral proceeding Magma can apply before the Court for passing any order, (as interim measure) u/s 9(1) of the Arbitration & Conciliation Act, 1886.

It serves the following purpose:

- The preservation/interim custody/disposal of any goods which are subject matter of the Arbitration agreement
- Securing the amount in dispute in the Arbitration
- Detention/ preservation/ inspection of any property or thing which is the subject-matter of dispute in arbitration.
- Interim injunction or the appointment of Receiver
- Injunction against disposal of any movable and immovable properties of hirer and guarantor.
- Garnishee order to refrain the hirer/guarantor to receive any payment from outside agency.
- For such other interim measure of protection as may appear to be just and convenient to the Court.

In short, during the arbitration proceedings Magma can pray before the Court for appointment of Receiver to take possession of the assets (financed) or through his agent, injunction of movable/immovable properties, injunction on receivables (Garnishees), etc.

Section 17:- Sec. 17 orders can be obtained during Arbitration Proceedings (i.e., after appointment of Arbitrator and even after award is passed but execution proceeding has not been initiated). The Arbitrator can appoint custodian to repossess the asset under the agreement and subsequently pass necessary orders in this regard.

Initiation of Section 9 / 17 depends upon the recoverability aspect from the case. The decision is taken by the Collections/Recovery Team based on (a) Availability of vehicle, Hirer, Guarantor, Co-Hirer, Co-Guarantor, (b) Financial status of the parties, (c) Current dues (OD, POS, ODI, etc). Since there is subjectivity in the decision making process, no blanket approval is given for filing such cases. Also there a substantial amount of costs involved for these cases. So, there cannot be any standard process for initiating Section 9 /17 proceedings.

N.B. – Sec.9 and Sec.17 to be initiated on request basis subject to applicable provision of Arbitration Act.

SECTION 34

Any party to the arbitration proceedings, if aggrieved by the award, can challenge the award under sec 34 of the Arbitration & Conciliation Act, 1996 within 90 days of publication of the award i.e. within 90 days of having knowledge of the award or receiving the award, before the principal civil court of original jurisdiction. The court then adjudicates the veracity of the award and either cancels the award and orders fresh reference or upholds the award. If any party is aggrieved upon the order by a court under sec 34 of the Arbitration & Conciliation Act, 1996, the said party may file an appeal.

EXECUTION OF AWARD

Award becomes decree order after 90 days from the date of receipt of award by the parties. The eligible criteria for Execution filing is mentioned below (Earlier Policy):

- 180+ BKT with ODPOS >=75K. For exceptional cases approval of NCH is required
- S&S Cases where POS is greater than or equal to 5 Lacs. However, w.e.f. 1/4/2017 no Execution to be filed in S&S cases ,irrespective of any amount of POS unless there is any special approval from NCH.

Modification in Policy for Execution of Award (w.e.f. 28-07-2017)

As per modified policy, the eligible criterion for Execution filing is mentioned below:

- 181 TO 365 BKT with ODPOS >=75K for ABF cases. For SME and Housing matters, the eligibility criteria remain same as earlier i.e. 180+ BKT. For exceptional cases approval of NCH/NLH is required.

  N.B.- However, the eligibility criteria for SME and Housing matters is further modified to 90+ BKT with ODPOS>=75K (w.e.f. 07-05-2019)
- If 365 To 450 BKT ABF cases needs to be filed then, need to refer to the Execution Ageing MIS and file only those cases where property proof are available as well as NCH/NLH approval is obtained.
- In case of 450+ BKT ABF cases (where ODPOS is greater than 10 Lac) needs to be filed then, need to refer to the Execution Ageing MIS and before filing, the cases should be examined by SLH & TCH to proceed for the same, CRM level approval is required through Recovery to file all such cases.
- S&S Cases where POS is greater than or equal to 5 Lacs. However, w.e.f. 1/4/2017 no Execution to be filed in S&S cases, irrespective of any amount of POS unless there is any special approval from NCH.

In execution proceedings we can take orders on the vehicle under the agreement, attachment and disposal of movable /immovable property of the hirer / guarantor, realization of receivables (money payable by third party) of hirer / guarantor, civil imprisonment of hirer / guarantor etc. Execution can be filed at Calcutta and proceeded with, or filed at Calcutta and Decree transferred to respective local court. Jurisdiction of High Court, Kolkata where claim amount > Rs. 10 Lacs. Execution can also be filed directly at the location court and such cases are looked after by the State Legal Head and are monitored by Zonal Legal Head.

Filing of application of Execution of Award depends upon the recoverability aspect from the case. The decision is taken by the Collections/Recovery Team based on (a) Availability of Hirer, Guarantor, Co-Hirer, Co-Guarantor, (b) Financial status of the parties, (c) Movable & immovable properties in the name of Hirer/s, Guarantor/s (d) Current dues (OD, POS, ODI, etc), (e) Geographical viability for monitoring aspect. Since there is a huge amount of subjectivity in the decision making process, no blanket approval is given for filing of execution cases. Also there is a substantial amount of costs involved for filing execution cases. So, there cannot be any standard process for initiating execution proceedings in respect of all decree matured cases.

ABEYANCE OF LEGAL PROCEEDINGS

Approval of CRM is necessary to keep the legal proceeding in abeyance when arbitration, execution, Section 9, Section 34, Section 138 proceedings are going on. Terms of Settlement (TOS) can be executed in such cases with the approval of CRM.

When Receiver is appointed to take possession / make inventory and the Receiver visit needs to be stopped, in such cases we have to withdraw the proceedings with liberty to file afresh and for said withdrawal CRM approval is required.

WITHDRAWAL OF CASES

Withdrawal of legal cases can be of two types:

1. **Withdrawal of legal cases with liberty to file in case of future default:** In these cases the legal proceeding is withdrawn for the time being with option to file in case of future default only on CRM approval.

2. **Withdrawal as finally settled:** In these cases the legal proceeding is withdrawn as fully and finally settled and on such withdrawal no legal proceeding is initiated in future.

   Documents required for withdrawal:

   1. Approval mail and/or account closure mail
   2. Proposal should not appear in CFR as well as in EPC Register.
   3. Legal confirmation that no Case Against Company is pending
   4. Or Confirmation from operations team with respect to Issuance of NOC along with NOC Number and NOC Issuance Date

Each month closed cases data need to be provided by HO-LEGAL MIS(Not appearing in CFR & EPC Register), on the basis of which HO- Legal/Branch Legal will take necessary steps for withdrawal of legal proceedings in such cases, where there is no cases pending against the Company and/or employees/directors.

LEGAL MIS (CIVIL)

System generated MIS relating to Arbitration, Sec. 9, Sec.17, Sec.34 & Execution matters is downloaded by the Back Office Team at H.O. Legal. The same is updated on a regular basis and circulated to all Recovery Heads, Zonal Legal Heads, State Legal Heads on a monthly basis. Besides the MIS, various periodical trackers are also circulated i.e. Agreement Pendency from Operations Department, PDC retrieval and bounce memo pending from Treasury Department, etc.

CASES UNDER NEGOTIABLE INSTRUMENTS ACT, 1881 (Sec 138 Cases)

We, in Magma broadly adopt two legal methodologies to recover our dues from defaulting customers. One is through Arbitration, which is a civil procedure and the other is through NI Act cases, which is a criminal procedure. If the cheque provided by the hirer at the time of execution of agreement is dishonoured, in that case criminal proceedings can be initiated for such dishonor of cheque(s).

What is meant by dishonor of a cheque?

When any cheque, drawn by a person for the discharge of any liability, partial or full, is returned by the bank unpaid, because of insufficiency of the amount of money, standing to the credit of the account on which the cheque was drawn or, for the reason that it exceeds the arrangements made by the drawer of the cheque, the cheque is said to have been dishonored.

What are pre-conditions to file case u/s. 138 of N.I. Act?

In order to proceed under Section 138, the following events should have occurred:

a. The cheque in question should have been issued in discharge of whole or part of a debt or liability otherwise the maker of the cheque is not liable for prosecution. For example if the cheque is given as a gift or present and not towards the discharge of any legally enforceable obligation or debt or liability) and if the bank dishonours it the maker of the cheque is not liable for prosecution;

b. Cheque should have been presented to the bank within a period of three months of the date of on which it is drawn or within the period of its validity, whichever is earlier;

c. The dishonor of cheque should be due to certain defined reason, e.g. "Funds Insufficient", "Exceeds Arrangement", "Refer to Drawer", "Stopped payment" etc

d. The payee or holder in due course of such cheque should have made a demand for the payment of the said amount of money by giving a notice, in writing, to the drawer of the cheque within thirty days of the receipt of the information by him from the bank regarding the return of the cheque unpaid; and

e. The drawer of such cheque should have failed to make the payment of the said amount of money to the payee or the holder in due course of the cheque within fifteen days of receipt of the said notice;

f. The complaint can be made only by the payee or holder in due course within one month of the drawer failing to make payment after 15 days of receiving notice.

What is the procedure in Magistrate's Court?

Broadly, the steps are as follows:

a. If the magistrate is of the opinion that there are sufficient grounds for proceeding he shall call the complainant for pre-summoning evidence and the necessary documents are exhibited;

b. Thereafter summons are issued for the attendance of the accused;

c. If accused fail to appear inspite of service of summons, then warrants (Bailable) are issued by which Police authority is instructed to arrest the accused and grant bail with an instruction appear before the Court on or before the date as mentioned in the warrant of arrest. The police then sends a Report to the Court mentioning that the accused was arrested and instructed to appear before the Court;

d. If the accused fails to appear before the Court on the date fixed and after going through the Police Report, Non-Bailable Warrant of arrest is issued against the accused (such Non-Bailable Warrant can be issued at any stage after the accused appears but does not appear or take any steps in subsequent date/s) by the Magistrate directing the police to arrest the accused and produce the accused before the Court;

e. Once the accused appears before the court, the particulars of the offence are stated to the accused, and he shall be asked whether he pleads guilty or has any defence to make;

f. If he accused pleads guilty, the magistrate shall record the plea and convict him;

g. If the accused does not plead guilty, then the evidence adduced by the complainant is recorded;

h. The Magistrate will inform the accused about what incriminating evidences have been adduced by the complainant against him and will ask him if he wants to adduce evidence to rebut (disprove) the evidences of the complainant;

i. If the accused wants to present evidence to prove innocence, the Magistrate shall proceed to take the evidence as may be produced by both;

j. On the hearing and evidence followed by Argument the Magistrate shall pass the order of conviction or acquittal.

What is the punishment prescribed under the act for dishonor of a cheque?

The Negotiable Instruments (Amendment and Miscellaneous Provisions) Act, 2002 prescribes imprisonment, which may extend to two years or payment of a fine, which may extend to twice the amount of the cheque or, both for an offence under section 138.

We, in Magma file NI Act cases against the defaulting customers to recover our dues. The policy of initiation of NI Act cases are described in details in the later part of this module. As NI Act cases are Criminal in nature, customers often fall under pressure when Warrants, Proclamations and attachments are issued. That makes them vulnerable and thus clear their dues or settle their accounts.

Different important stages of NI Act cases

NIA case can be filed against the person who has issued the cheque (it may be the Hirer / Co-Hirer / Guarantor). After the case is filed in the Court the major stages that a case goes through are Summons, Warrant, Proclamation, Attachment, Plea, Evidence and Judgment. During the pendency of an NIA case parties do approach us for settlement (especially in Warrant and Proclamation stage). Also when the parties appear before the Court, they are approached by us for settling the dues.

Warrants/Proclamations/Attachments

These are potential instruments for creating pressure upon the defaulters. We can approach the concerned defaulters and sensitize them about the outcome and stigma of Warrants etc – including the possibility of their going behind bars after being arrested and convince them to pay their dues. We also pray before the Magistrate for Attachment of the property of the accused person after Proclamation is issued and the Proclamation is published. We also pray before the Magistrate for publication of the Proclamation Order in a newspaper. We do not go for blanket orders as paper publication involves a lot of cost and so we pray for such orders only in certain cases as maybe identified / approved by the concerned Zonal Bucket Head.

DIFFERENT POLICIES FOR INITIATION OF NI ACT CASES

Policy for Initiation of NIA cases (Approval Matrix)

As a policy the proposal nos. which fall under the mentioned criteria are identified at first:

Eligibility criteria for initiation of Sec. 138 is as mentioned under w.e.f. 01-05-2016 except for SME Cases:-

a) For SME 30+ DPD Bucket with ODPOS >=75K – (w.e.f. 01-04-17)
b) For Housing 30+ DPD Bucket with ODPOS >=75K (earlier initiated in 60+ BKT but now policy modified w.e.f. 01-08-17)
c) For SCE 60+ DPD Bucket with ODPOS >=75K
d) For ABF cases: 90+ DPD Bucket with ODPOS >=75K
e) For S&S where POS is >Rs.5 lacs

Note:
1. Even in some cases though the aforesaid eligibility criteria is not meeting, sec. 138 can be initiated on approval of NCH/NBH/ZCH/ZBH/ZLH as the case may be.
2. Section 138 of NIA is filed by the HO as cheque present for banking at Kolkata.
3. Proposals which are involved in Fraud Cases, approval should be taken from CAC Head.
NB:-Aforesaid modified criteria were effective from 1st May, 2016.

Note: As mentioned above, after the cases falling under the above criteria are identified, then, as a general rule, we initiate Sec.138 proceedings subject to the availability of cheque.

Modification in Policy for Sec.138 Initiation (w.e.f. 01-04-2021)

Eligibility criteria for initiation of Sec. 138 is mentioned below :- (Only ABF Cases)

a) For ABF cases: 60+ DPD Bucket with ODPOS >=75K

WITHDRAWAL OF CASES

Withdrawal of legal cases can be of two types:

1. **Withdrawal of legal cases with liberty to file in case of future default:** In these cases the legal proceeding is withdrawn for the time being with option to file in case of future default only on CRM approval.
2. **Withdrawal as finally settled:** In these cases the legal proceeding is withdrawn as fully and finally settled and we cannot initiate any proceedings in future.

Documents required for withdrawal:

1. Approval mail and/or Accounts closure mail
2. Proposal should not appear in CFR as well as in EPC Register.
3. Legal confirmation that no Case Against Company is pending
4. Or Confirmation from operations team with respect to Issuance of NOC along with NOC Number and NOC Issuance Date

Each month closed cases data (Not appearing in CFR & not appearing in EPC Register)need to be provided by HO-LEGAL MIS, on the basis of which HO- Legal/Branch Legal will take necessary steps for withdrawal of legal proceedings in such cases, where there is no cases pending against the Company and/or employees/directors.

UPLOADING OF SEC. 138 LEGAL INSTRUMENTS

Policy for uploading Legal Instruments of Sec.138 in Lotus Database and make it available to Reco/Coll Team at location

The copy of Legal Instruments of Sec.138 (Filed from HO) i.e. Summons, Warrants & Proclamations are uploaded in Lotus Database by HO legal.

The MIS is uploaded in "MAIN DATABASE" folder. The same can be down-loaded and saved.

Note: Scan copies of Legal Instruments are available in the database in specific location folders (as per Proposal's Location) having file name being the respective proposal nos.

The link is given below for reference.

"NIA & Agnst Co. (Cr) Database" (link ---------Notes Link

SARFAESI PROCEEDINGS

The Securitisation and Reconstruction of Financial Assets and Enforcement of Securities Interest Act, 2002 (also known as the SARFAESI Act) allows (Secured Creditors) i.e. banks and other financial institutions to enforce & auction residential or commercial properties to recover dues without the interference of Court or Tribunal.

A) PRE SARFAESI NOTICE: Pre-SARFAESI Notices are sent in accounts prior to classification of NPA (on request) in order to support the collection activities at earlier buckets (Pre-NPA stage).

B) INITIATION CRITERIA:

1) The account of the “Borrower’’ has to be classified as Non- Performing Asset (NPA) under guidelines issued by the Reserve Bank of India i.e (90+ BKT & NPA REPORTED)
2) Mortgage has to be created with the secured creditor for the purpose of securing the debt.
3) Amount due (Principal and interest) has to be 20% and above as per Sec 31 (j).
4) Agricultural land is not covered by SARFAESI Act, in fact it is mentioned in exemption as per Sec 31 (i).
5) (a) **FOR MHF:** Securing repayment of debt or receivables has to be over 1.00 Lac and above.

   (b) **FOR MFL**: 20.00 Lac and above (amendment 2021)

Note: Earlier Initiation Criteria for MFL accounts (Net Exposure) was 1 Cr and above. However, on subsequent amendment the amount was reduced to 50.00 Lac. Recently upon further amendment in February, 2021 the amount has further been considered to be 20.00 Lac and above for all (NBFC).

C) <u>Stages:</u>

- 13(2) Notice (Maturity on 60 days)
- Postal Service (Alternately Affixation + Publication).
- Possession u/s 13(4) (If possible or for compliance)
- Filing of Sec.14 application
- Sec.14 Order
- Execution of Sec.14 Order (Including Possession Notice)
- Valuation & RP Approval
- Sale Notice
- Auction
- Compliance of Sale formalities

CASES AGAINST COMPANY:

Parties to contract ie, borrower, co-borrower , guarantor , dealer etc sometime approached Courts, Tribunals, Statutory authority or any other law enforcement authority for redressal of any dispute and thereby claiming damages, compensation or any other relief against the Company or it's representative.

The knowledge of filing of such Cases, Complaints etc. comes to us usually through post or hand delivery at branch offices and / or registered office address. On receipt of such cases, legal FPR makes necessary entry in oracle and assigns the matter to empaneled advocate basis the approval of State Legal Head (SLH).

Apart from these cases filed against the company, legal FPR / SLH also needs to initiate criminal cases in the event of fraud, criminal breach of trust etc. These cases are closely monitored by CAC team based out of HO. Also, these types of cases are captured in separate oracle module viz., CBC and Fraud module. The report of which is circulated by HO legal periodically.

ROLES AND RESPONSIBILITIES OF CAC TEAM BASED OUT OF HO AND RO:

1. SLH monitors all pending CAC and CBC cases and ensure timely filing of the written statement, reply etc. on time and / or stipulated under the provision of applicable Act.

2. Legal FPR updates the case status, next date of hearing and / or any other development in oracle on regular basis.

3. CAC team based out of HO advices FPRs from time to time on filing of written version and also closely monitors to ensure filing of the same within time. CAC team whenever required vets the written statements.

4. On disposal of the matter, SLH provides the order copy to CAC team along with all necessary annexures with the recommendation for filing appeal / compliance of the order.

5. CAC team analyses such order considering the merit of the matter, cost benefit analysis and on legal provision and takes necessary approval for either compliance of the order or preferring appeal before higher forum. Upon receipt of the NLH approval, same gets actioned accordingly.

6. CAC team in coordination with location FPR/ SLH ensures that the appeal /revision etc is preferred within time.

7. The said process is followed in civil and consumer cases and to some extend in criminal cases.

8. CAC team evaluates the reason for losing cases and highlights the process lapse to concern vertical.

9. CAC team circulates report generated from CAC oracle module on alternate dates and circulates with pan India legal team.

10. CAC- HO team decides the contingent liability of the entire CAC cases and shares the same with accounts team whenever sought for.

11. CAC team keeps a track of the statutory amount deposited for Tribunals and follows for with FPR for their refund on completion of the case whenever eligible.

12. CAC team gives the clearance of the assets lying in stock yard where CAC, fraud, CBC is pending post taking confirmation from SLH for the assets which are clear for sale.

PROCESS TO BE FOLLOWED IN FRAUD CASES:

1. Once an issue is escalated to Fraud control team, same gets investigated by Internal Audit team and on publication of the report, RBI compliance team, reports the same to RBI wherever recommended by IAD.
2. Basis the IAD report, CAC team takes the initiative to file appropriate legal cases viz., FIR, Police complaint, private complaint before Magistrate etc.
3. These type of fraud cases are captured in a separate module called 'fraud module', report of which is published time to time.

LEGAL EXPENSES

Legal expenses is incurred at the branch or H.O. which are forwarded to Accounts for payment after the nature of proceedings & type of expenses is tagged in the Legal Module of Oracle System and top sheet generated. The process & policy for expenses matrix is as per Circular given below:

Circular: C-RM/FY13/July 2012/002 - Legal Expense Approval Matrix

1) The Legal expenses incurred are categorized in the following types:
   a) Bills submitted by advocates
   b) Expenses related to travel, conveyance, boarding, lodging incurred by Receivers, Retainers, Advocates and such non-Magma personal for Magma's legal related work
   c) Expenses which are miscellaneous in nature and where bills are not available

Examples of such expenses are notary of documents, obtaining certified Copy of order, departmental expenses relating to execution of decree and summon/ warrant execution, bailiff, stamp paper, Lok Adalat expenses etc.

d) Payment as per Court Order, such as Receiver's remuneration, compensation to be paid etc.

e) Statutory deposit, Court fees, stamp duties, required at various times such as during filing case / appeal etc.

2) Advocate Bills amount indicated here are against each proposal number and are not the consolidated amount of a bill

3) Civil cases include Arbitration, Sec 9, Sec 17, Execution and other civil cases against or by company. Criminal cases include Sec 138, all criminal cases filed by company or against company.

The Approval Process for all the above nature of expenses will be as follows:

A.	Expenses incurred at branch	Preparation by	Recommended by	Approved by
	upto Rs. 50,000/-	State Legal Recovery Head	Zonal Legal Recovery Head	National Legal Recovery Head
	above Rs. 50,000/-	State Legal Recovery Head	Zonal Legal Recovery Head / National Legal Recovery Head	Chief - Receivables Management
Note: Expenses incurred for type sl no 1 (d) and 1(e) will be vetted by HO Legal before forwarding to NLRH				
B.	Expenses incurred at HO	Preparation by	Recommended by	Approved by
	upto Rs. 10,000/-	Respective Team Leader	-	Head of Legal - Civil or Head of Legal - Criminal
	above Rs. 10,000/- and upto Rs.1 lakh	Respective Team Leader	Head of Legal - Civil or Head of Legal – Criminal	National Head - HO Legal
	above Rs.1 lakh	Respective Team Leader	Head of Legal - Civil or Head of Legal - Criminal / National Head - HO Legal	Chief - Receivables Management

Subsequently the process has been changed w.e.f. 01-02-2015

<u>“Legal” & “Recovery” Expenses Approval Matrix</u>

Expenses are categorized under two heads i.e. “Legal Expenses” and “Recovery Expenses”. All expenses related to CAC, Court Fees and Fraud matters shall be approved and tagged to Legal and rest of Misc. expenses related to execution of Legal instruments etc. in field shall be approved and tagged to Recovery/Collections accordingly. The details of the same are mentioned below:

1) **The “Legal Expenses” incurred are categorized in the following types:**
   a) Bills submitted by advocates

   b) Payment as per Court Order, such as Receiver's remuneration, compensation to be paid etc.

c) Statutory deposit, Lok Adalat Expenses, Court fees, stamp duties, stamp papers required at various times such as during filing case / appeal etc.
d) Any other related expenses.

2) Advocate Bills amount indicated here are against each proposal number and are not the consolidated amount of a bill

3) Civil cases include Arbitration, Sec 9, Sec 17, Sec.34, Execution and other civil cases against or by company. Criminal cases include Sec 138 and all criminal cases filed by company or against company.

4) The "Recovery Expenses" incurred are categorized in the following types:

a) Expenses related to travel, conveyance, boarding, lodging incurred by Receivers, Retainers, Advocates and such non-Magma personal for Magma's legal related work
b) Expenses which are miscellaneous in nature and where bills are not available
Examples of such expenses are departmental expenses relating to execution of Legal instruments i.e. Sec.9 Order, Decree and Summon/ Warrant / PO execution, bailiff etc.

The Approval Process for all the above nature of expenses will be as follows:

A.	**Legal Expenses incurred at Branch**	**Preparation by**	**Recommended by**	**Approved by**
	Upto Rs. 50,000/-	State Legal Head	Zonal Legal Head	National Legal Head
	Above Rs. 50,000/-	State Legal Head	Zonal Legal Head / National Legal Head	Chief - Receivables Management / CCO
B.	**Legal Expenses incurred at HO**	**Preparation by**	**Recommended by**	**Approved by**
	Upto Rs. 10,000/-	Respective Team Leader	-	HO Legal Head - Civil & Criminal
	Above Rs. 10,000/- and upto Rs.1 lakh	Respective Team Leader	HO Legal Head - Civil & Criminal	National Legal Head
	Above Rs.1 lakh	Respective Team Leader	HO Legal Head - Civil & Criminal / National Legal Head	Chief - Receivables Management / CCO
C.	**Recovery Expenses incurred at Branch**	**Preparation by**	**Recommended by**	**Approved by**
	Upto Rs. 50,000/-	State Recovery Head	Zonal Recovery Head	National Recovery Head
	Above Rs. 50,000/-	State Recovery Head	Zonal Recovery Head / National Recovery Head	Chief - Receivables Management / CCO

*** w.e.f. 01-08-2020 Consolidated Bill payment less than Rs.2.5 Lakh in a month to an Advocate /Vendor would require NLH approval. For Rs.2.5 Lakh and above would require Chief - Receivables Management approval.

Policy on Appointment of Advocates

Based on the recommendation from SLHs and approval of ZLH & NLH the Law Firm / Advocate get empanelment. The fee structure is finalized and approved by NLH on consulting the SLH & ZLH.
The following lists of documents are shared with the HO Legal team:
a. Request Letter obtained from the lawyer preferably on his Letter Head or E-Mail;
b. Copy of the PAN Card;
c. Copy of Enrolment Certificate / Letter issued by the concerned Bar Council / Copy of Membership Card of the Local Bar Association;
d. Profile of the lawyer on his letterhead;
e. Cancelled Cheque and
f. Vendor evaluation report (in the prescribed format of Magma).
g. Address Proof *(Voter Card/ AADHAAR Card/ Driving License/ Govt. Electricity Bill / Phone Bill / Bank Passbook – Latest 2 Months)

HO Legal issues the empanelment letter containing fees structure to the concerned advocate in the prescribed format.

A copy of the letter of empanelment counter signed by the Law Firm / Advocate and returned to HO Legal team as a token of acceptance.

Legal HO Billing team then prepares the vendor code in the system.

LEGAL STRUCTURE AT HO

LEGAL STRUCTURE AT RO